

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads
to the Interstate Transmission System**

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Docket No. RM26-4-000

REPLY COMMENTS OF VERRUS LLC

I. INTRODUCTION

Verrus LLC (“Verrus”) respectfully submits these Reply Comments to the Federal Energy Regulatory Commission (“Commission”) regarding the Advance Notice of Proposed Rulemaking (“ANOPR”) on the Interconnection of Large Loads to the Interstate Transmission System.

As detailed in our initial comments, Verrus is a developer, owner, and operator of a first-of-its-kind fleet of purpose-built, flexible hyperscale data centers. Verrus brings a unique perspective to this proceeding because our facilities are designed from the ground up to function not merely as consumers of power, but as interactive grid assets. Unlike standard industrial loads that require firm, unvarying service, or traditional demand response participants that offer voluntary, behavioral reductions and that might vary from year to year, Verrus facilities integrate utility-scale battery storage and advanced load-management controls able to respond automatically to control area operator dispatch instructions similar to a central station generator to modulate demand in real-time. This “asset-backed” flexibility allows us to support grid reliability year in and year out for the duration of its interconnection and avoid network constraints in ways that traditional large loads and data centers historically cannot.

Verrus continues to strongly support the Commission’s objectives in this proceeding. The

record developed in response to the ANOPR confirms that the current “one-size-fits-all” approach to large load interconnection is unjust, unreasonable, and unduly discriminatory. Existing rules generally fail to distinguish between loads that strain the grid and loads that possess the physical capability to support it. By treating these fundamentally different asset classes identically, **the current framework forces flexible loads to cross-subsidize inflexible ones**, requiring customers who can operationally avoid the need for network upgrades to pay for infrastructure that is only necessary for their inflexible peers. Furthermore, it forces these agile resources to wait in queues behind projects requiring years of costly upgrades, rather than allowing them to connect quickly by leveraging the underutilized non-peak grid capacity already in place. Blocking or substantially slowing this much more efficient utilization of our power grid undermines broader national priorities at a critical time to stimulate and expedite the right infrastructure development. As the global economy increasingly depends on energy-intensive digital infrastructure, the United States’ ability to rapidly integrate these large loads is a key determinant of its economic and national security competitiveness. We cannot afford to leave existing grid capacity idle while critical industries and national objectives wait in line.

To remedy this discrimination and unlock the speed-to-market required for the United States to maintain its technological leadership, Verrus urges the Commission to advance a Notice of Proposed Rulemaking (“NOPR”) that adopts four foundational reforms:

1. **Define “Flexible Load”:** Establish a clear, national definition for asset-backed loads that provide long-term committed, verifiable, dispatchable¹ flexibility.

¹ Verrus acknowledges the ANOPR uses the term “dispatchable” exclusively in reference to hybrid resources. ANOPR at P 24. However, by dispatchable, Verrus refers to load flexibility that is controllable by the customer and that can reliably follow operating instructions of the grid operator. There is a long history of “dispatchable” load in the context of demand response.

2. **Create a Fast-Track:** Implement a standardized, expedited interconnection lane for loads that demonstrate reduced grid impact through long-term and verifiably reliable flexibility commitments.
3. **Recognize Reliability Value:** Formalize the status of long-term and verifiably reliable flexible loads as reliability resources in planning and modeling.
4. **Align Cost and Credit:** Ensure cost allocation and credit assurance requirements reflect the actual system risk—and avoided costs—of flexible resources.

The record supports immediate action on these items. However, should the Commission determine that the full scope of the ANOPR—particularly issues related to broad cost allocation—is too complex or requires further record development, Verrus urges the Commission not to delay the entire proceeding. The record is clear and supportive regarding the less complex, high-impact need to define “Flexible Load” and establish a “Fast Track” for interconnection. These core reforms are ripe for implementation and should be prioritized in any Final Rule or phased NOPR.

II. THE NEED FOR REFORM: ENDING DISCRIMINATION AND CROSS-SUBSIDIZATION

The record demonstrates that the status quo—a patchwork of largely unfilled state and utility practices—is failing to maximize the efficiency of the transmission grid. And even where load interconnection rules are filed, by utilizing a single customer class and study process that fails to distinguish between flexible and inflexible loads, transmission providers are effectively requiring flexible resources to cross-subsidize their inflexible peers. This “one-size-fits-all” treatment is a classic form of undue discrimination: treating non-similarly situated customers as if they were the same.

A. Current Practices Force Cross-Subsidization and Stranded Investment

As Verrus noted in its initial comments, flexible loads like ours can operate almost entirely within the existing headroom of the transmission system. By committing to curtail demand during peak constraint periods, we will, in most cases, avoid the need for new network upgrades. However, even in those cases where upgrades are not necessary, current interconnection procedures typically trigger network upgrade requirements and assign costs based on a load's maximum theoretical coincident demand, ignoring its ability to curtail.

This failure has two pernicious effects. First, it forces flexible loads to pay for transmission capacity they do not strictly need—effectively subsidizing the network upgrades required by inflexible loads that cannot modulate their consumption. Second, and perhaps more damaging to the public interest, it slows the deployment of highly beneficial flexible loads while also charging ratepayers and/or the specific customer for unnecessary infrastructure. When utilities ignore the curtailment capabilities and commitments of large loads, they build upgrades that could have been avoided and make customers wait in the process. This fails to maximize the utilization of current infrastructure, resulting in higher relative transmission rates for everyone. The converse is also true: connecting large flexible loads that utilize existing “headroom” spreads the fixed costs of the grid over a larger base, creating downward pressure on rates for all customers. By failing to prioritize these efficient interconnections, the current framework denies ratepayers the economic benefits of a more highly utilized transmission system.

Regardless of how broadly the Commission draws the scope of its final rule, it must, at a minimum, ensure that it remediates this specific discrimination. A market structure that fails to value flexibility is a market that chooses higher costs and slower deployment.

B. Cost Allocation Must Recognize Avoided Upgrades

The ANOPR proposes to assign 100% of network upgrade costs to new large loads. If the Commission chooses to adopt this principle, it must ensure that a study process is in place that enables large loads to avoid those upgrades through firm, asset-backed commitments to curtail. Verrus strongly opposes proposals that would assign network upgrade costs directly to a large load customer if that customer has made commitments to exercise operational flexibility to avoid triggering the upgrade. Assigning the full cost of a network upgrade to a flexible load that has committed to curtail—and thus does not cause the need for the upgrade—would be unjust and unreasonable.

The Commission has multiple pathways to ensure fairness, and should not consider 100% cost assignment to be the only option. It could create a separate “Flexible Large Load” interconnection class with distinct processes and transmission service cost structures, or establish separate classes of transmission service (e.g., conditional firm service) that large loads can select. Verrus urges the Commission to ensure that any conforming tariff structure: (1) allows flexible loads to avoid network upgrade cost assignment or allocation by committing to curtailment; and (2) assigns cost responsibility equitably, ensuring that flexible loads do not bear the burden of infrastructure required solely for inflexible demand.

III. FLEXIBILITY IS REAL: REBUTTING THE SKEPTICS

Several commenters have expressed skepticism regarding the willingness or ability of large loads, particularly data centers, to provide meaningful flexibility. For example, ATC states that, in its experience, large load customers “require 24/7, uninterrupted, guaranteed, reliable service.”² Similarly, Eversource and Vantage Data Centers report that their customers have

² ATC Comments at 15.

expressed no interest in mandatory curtailment.³

These observations, while surely accurate for the specific customers referenced, do not reflect the entire market. That some data centers do not currently wish to curtail does not mean that none will choose to do so, particularly once market rules are in place that properly value flexibility. Verrus exists precisely to fill this gap. Our solution is predicated on the ability to provide reliability services and modulate demand. Furthermore, other major market participants have also expressed interest in voluntary flexibility commitments in exchange for expedited study processes.

The Commission should not limit the potential of the grid by designing rules based on the lowest common denominator; inflexible loads. Instead, it should create a framework that allows those willing to innovate—like Verrus—to do so. Indeed, resolving the current inconsistency is exactly why the Commission’s leadership is necessary. Today, developers face a patchwork of transmission provider rules; while some acknowledge that flexibility exists, most do not. Innovators offering nationally applicable grid-supportive solutions like Verrus should not be required to change misguided perceptions utility-by-utility or state-by-state. It is the Commission's role to eliminate such barriers to entry and ensure that interstate transmission access is not determined by local skepticism but by objective, non-discriminatory standards.

A. Defining “Flexible Load”: Thresholds Matter

While Verrus supports the creation of a “Flexible Load” subclass, we caution against setting the bar for participation unrealistically high. Some commenters, such as ISO New England (“ISO-NE”), suggest that expedited studies should only be available for loads that are

³ Eversource Comments at 7; Vantage Data Centers Comments at 10.

“fully curtailable” (i.e., 100%).⁴

Insisting on 100% curtailability would strand significant value. A facility that can curtail 50% or even 25% of a massive load could still offer hundreds of megawatts of relief to the system—relief that can avoid upgrades and improve reliability. Partially curtailable facilities can combine to provide substantial system benefits, and this capability should be encouraged, not excluded.

While there are a number of reasonable thresholds that the Commission could draw that ensure meaningful flexibility without unduly constraining opportunity, Verrus reiterates the proposal from its initial comments anchored on Commission precedent for defining a “large” generator:⁵ a load should qualify for the “Flexible” subclass (and the associated fast-lane study) if it commits to curtailing the greater of 20 MW or 25% of its total load. This threshold ensures that the flexibility is material to the transmission system while remaining operationally feasible for a broader range of asset-backed technologies.

B. Robust Protections Build Trust

Verrus agrees with the California Independent System Operator (“CAISO”) and Transmission Access Policy Study Group (“TAPS”) that “strict, unwavering protections” are necessary to ensure that flexible loads meet their curtailment obligations.⁶ We support requirements for real-time telemetry at the site level and acknowledge that physical protection schemes (such as circuit breakers or relays) may, in some cases, be appropriate to enforce

⁴ ISO-NE Comments at 9.

⁵ See *Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003, 104 FERC ¶61,103, at P 4 (2003), *order on reh’g*, Order No. 2003-A, 106 FERC ¶61,220, *order on reh’g*, Order No. 2003-B, 109 FERC ¶61,287 (2004), *order on reh’g*, Order No. 2003-C, 111 FERC ¶61,401 (2005), *aff’d sub nom. Nat’l Ass’n of Regul. Util. Comm’rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007).

⁶ CAISO Comments at 8; TAPS Comments at 16-17.

operational limits. These “hard” constraints distinguish asset-backed flexibility commitments from purely voluntary or price-responsive demand response commitments, because they provide the certainty transmission providers need to rely on as alternatives to network upgrades.

IV. THE “FAST TRACK” IS JUSTIFIED BY EFFICIENCY AND ENGINEERING, NOT PREFERENCE

Some commenters have characterized the ANOPR’s proposal for expedited studies as unfair. TAPS, for instance, argues that creating an expedited process for curtailable loads “raises serious concerns about undue discrimination,”⁷ and ISO-NE cautions against broad expedited processes.⁸ These arguments, however, misunderstand the rationale for a “Fast Track.”

A. Faster Study is Efficiency, Not Favoritism

Distinct study “lanes” are warranted because flexible loads can get online using the existing grid, which allows them to begin operating faster with less stranded cost risk to ratepayers. As the CAISO correctly notes in its comments, “it is generally easier to study and interconnect curtailable facilities.”⁹ When a load commits to curtailing during system constraints, the scope of the required interconnection study narrows significantly. There is no need to study deep system reinforcements or complex thermal overloads if the load contractually and physically agrees to reduce load below levels that would trigger such upgrades during those conditions.

Therefore, an expedited timeline is not discriminatory “queue jumping” as some commenters have suggested—it simply reflects the reduced time required to study a simpler project and the efficiency gains realized when faster projects are allowed to move at a faster

⁷ TAPS Comments at 18.

⁸ ISO-NE Comments at 9.

⁹ CAISO Comments at 12.

pace. Providing a fast lane interconnection queue for flexible loads no more unduly discriminates against non-flexible loads than a grocery store's "10 Items or Less" checkout lane unduly discriminates against customers shopping for a large Thanksgiving dinner with dozens of items in their basket. Both reasonably acknowledge that faster-to-process customers are not similarly situated to those who require more complex processing. And that systemic efficiencies can be gained by allowing them to proceed separately. Treating a flexible project that requires zero network upgrades with the same study duration as a massive, inflexible load that requires new transmission lines is, in itself, discriminatory. It delays the efficient project for no technical reason.

B. Streamlining Flexible Loads Clears the Queue for Everyone

Establishing a fast lane for flexible loads benefits the entire interconnection queue. By quickly processing loads that do not require network upgrades, transmission providers can clear the backlog and focus their scarce engineering resources on the complex projects that actually require deep study.

Precedent for this approach is emerging. For example, Southwest Power Pool's ("SPP") recent High Impact Large Load Generation Assessment ("HILLGA") proposal recognizes that integrating the study of load with electrically proximate generation/resources is more efficient than standalone regulation. As DTE Electric noted in its comments, this integrated approach can "identify opportunities for co-location that reduce the need for network upgrades . . . and accelerate the timeline for bringing both load and generation online."¹⁰

The Commission should adopt a similar logic nationwide. A "Fast Track" for flexible

¹⁰ DTE Electric Comments at 10.

loads is a tool to maximize the efficiency of the queue for all participants, ensuring that simple projects do not languish behind complex ones.

C. The Strategic Cost of “Slow”

Finally, the Commission must recognize that speed is a strategic imperative. As noted in our introduction, the United States is in a race to deploy the digital infrastructure necessary for economic and technological leadership and to maintain national security. When a technical pathway exists to interconnect large loads quickly—because they do not require network upgrades—requiring them to proceed at the pace of the slowest, most complex projects is a policy error the country cannot afford. Where “fast” is obtainable through engineering, choosing “slow” through administrative inertia should not be an option.

V. CONCLUSION

The Commission has a critical opportunity to modernize the regulatory framework to reflect the realities of the modern grid. Flexible, asset-backed loads provide measurable public benefits: they stabilize the grid, defer costly infrastructure expansion, and unlock greater use of existing transmission capacity.

Verrus respectfully requests that the Commission proceed with a NOPR that:

1. **Defines “Flexible Load”** in a way that includes asset-backed resources capable of material (but not necessarily 100%) curtailment;
2. **Establishes a Fast-Track** interconnection process for these loads based on their reduced system impact;
3. **Recognizes Flexibility** as a reliability resource in planning and modeling; and
4. **Aligns Cost Allocation** to ensure that flexible loads are not forced to subsidize the

inflexibility of others.

Should the Commission determine that addressing the full scope of the ANOPR is too complex or not yet fully supported by the record, Verrus urges the Commission to adopt a phased approach. The record demonstrates that defining “Flexible Loads” and creating a “Fast and Fair” interconnection track are less complex and enjoy broad conceptual support. Prioritizing these two reforms would unlock significant grid capacity and resolve the most acute discrimination facing the market, while allowing the Commission to address more complex cost allocation issues in subsequent phases.

The tools are available today to bring large loads online faster and more affordably. By explicitly recognizing flexibility as an accelerator for interconnection, the Commission can ensure that large-load growth aligns with the broader public interest: improving reliability, lowering rates, and securing the nation's economic future.

Respectfully submitted,

/s/

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